When Sentiment Matters: News, Extreme Price Movements, and Return Dynamics

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Abstract

This paper examines whether the effect of news sentiment on stock returns depends on recent extreme price movements in the retail-investor-dominated Korean stock market. Using sentiment measures derived from LLM analysis of post-market news headlines, we show that sentiment not only predicts overnight returns but also affects price formation gradually over longer horizons. Importantly, the effect is strongly state-dependent and asymmetric: after price surges, negative news accelerates corrections while positive news dampens them, whereas after sharp declines, reversal dynamics dominate and sentiment plays a limited role. We empirically demonstrate that ignoring this state dependence substantially understates the economic significance of news sentiment.

Keywords: News sentiment, extreme price movements, return predictability, KOSPI, large language models
JEL Classification: G12, G14, G40

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